

and there have been no new fund offers (NFOs).

The question now is whether Indian investors, who haven't been very enthusiastic about sustainable investments, will be influenced by the global volatility in the ESG space.

Rohit Shimpi, Manager of the SBI ESG Exclusionary Strategy Fund, feels the situation is different in India. "While the number of ESG funds has remained constant post-2021, the ESG regulatory space has evolved, the number of UN PRI (Principles for Responsible Investment) signatories has increased, and there is an ever-growing number of ESG analytics firms providing such analysis that can be factored in while making investment decisions," Shimpi says. This, to him, indicates that the term ESG may undergo a change, but companies are likely to work more to ensure that there are sustainable practices.

As Shimpi points out, there has been a significant regulatory nudge aimed at encouraging companies to adopt sustainable practices. For instance, the capital markets regulator, the Securities and Exchange Board of India (Sebi), brought in the Business Responsibility and Sustainability Reporting (BRSR) framework. According to this, it is mandatory for the Top 1,000 listed firms by market capitalisation to provide details of various sustainable practices they have undertaken from FY24. Subsequently, it brought in the BRSR Core, which requires the top firms to also account for the impact of their supply chain and mandatorily undertake reasonable assurance. This will apply to the Top 150 firms by market cap in FY24, the Top 250 in FY25, and the Top 1,000 firms by FY27.

A recent PwC assessment of BRSR disclosures by the Top 100 companies in FY24 shows that ESG considerations have become key strategic priorities in boardroom discussions.

THE INDIAN SCENARIO

Fund managers feel that mandating BRSR for the Top 1,000 listed entities has been a great initiative for ensuring that ESG investors have access to ground-level data. In the past two years, these disclosures have helped fund managers evaluate the ESG performance of companies.

Ashwin Patni, Head-Products and Alternatives at Axis AMC, says ESG investing has made significant progress in India with strong regulatory support.

"However, we should also recognise that ESG is still evolving (even at the global level), and we expect domestic investors to take more time to start factoring it into their decision-making," he tells *BT*.

Amit Kapur, Managing Partner, JSA Advocates &

THE LANDSCAPE

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ESG investments have been facing political pushback in the US, and witnessed record outflows in 2023, which has carried into 2024 as well

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In India, the ESG regulatory space has evolved, though fund flows have remained flat since 2021

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Beginning FY24, Sebi has made it mandatory for listed firms to provide assurances of sustainable practices through the BRSR framework

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But sustainability is being increasingly integrated in investment decision-making by fund houses in the country

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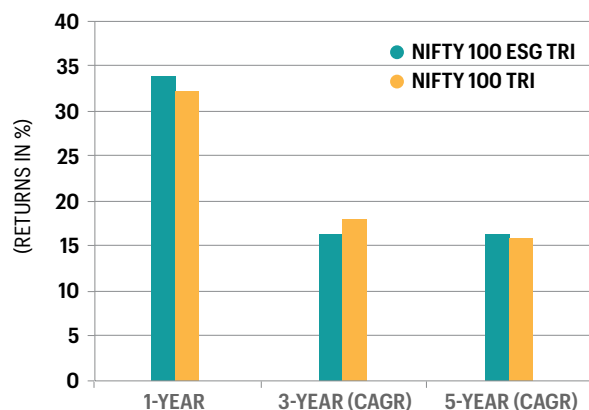
Plus, India Inc., too, is taking steps to align business practices with the ESG framework

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There is, however, a need to bring out a sectoral reporting framework for ESG, experts feel

THE REWARDS

- The long-term performance of ESG funds has been broadly in line with the benchmark
- The ESG Index has outperformed in the one-year period and underperformed in the three-year period



SOURCE NSE INDICES, BLOOMBERG, SBI MF